Custody infrastructure for shared revenue

Storage capacity confirmed. Ready to act.

50% **BlackRock**
of net trading revenue

50% **Citigroup**
of net trading revenue

We have held discussions with the major storage agents and confirmed sufficient space to support the proposed custody mandate. We are ready to act.

Available capacity and future expansion

MALCA-AMIT EXTENSION

+13,000 tonnes

The supplied brief describes a London extension with planning consent. Additional silver space could free the existing footprint for a dedicated second gold vault.

Explore automation for bar handling, tracking and reconciliation. Capital support could help accelerate delivery.

CAPACITY AVAILABLE NOW

Major provider

Ringfenced gold and silver space with a major provider in London provides immediate capacity for the transition. Designated space supports separate custody records and controlled access.

Further expansion: the provider also has a new silver facility exceeding 5,000 tonnes in the pipeline.

Ready to act: use available storage for the transition and add permanent capacity as the mandate grows.

How capacity supports the economics

Available space lets Citi source replacement metal, absorb primary-market activity and choose when physical transfers make economic sense. Execution remains on the bank’s trading book; BlackRock receives half of agreed net revenue.

Capacity discussions and sufficient available space confirmed by the desk. Expansion details are set out in the reference pages.

A network around the London–New York market

Core custody locations, with further markets as the partnership grows

London and New York provide the initial custody and execution network. Citi can expand the partnership through additional locations and local client flows.

426.780m oz
SLV silver in London

67.169m oz
SLV silver in New York

Location	Role in the proposal	Capacity / delivery route
London	Primary silver storage and replacement supply for the London leg.	Available space with a major provider; Malca-Amit extension for future growth.
New York	US inventory, creation/redemption servicing and access to CME delivery.	Malca-Amit USA capacity discussion; fixed-fee or revenue-linked commercial model. Secure approved depository access.
Zurich	Additional custody and sourcing hub for the wider bullion franchise.	Shared space initially; a dedicated facility is a later option.
Hong Kong	Regional client access and development of China bonded-market opportunities; support India / IIBX connections.	The brief indicates 150 tonnes of shared capacity at approximately £850,000 a year.

Expansion with a commercial purpose

Use Citi’s client base to source metal, place released inventory and develop regional flows. Add jurisdictions where local premiums and operating access justify the capacity cost.

First phase: London + New York. Future expansion: Zurich + Hong Kong, linked to the India / IIBX and China opportunities.

SLV holdings: 9 October 2026. Zurich and Hong Kong are future SLV location proposals, requiring the relevant custody approvals. Capacity indications come from the supplied brief.

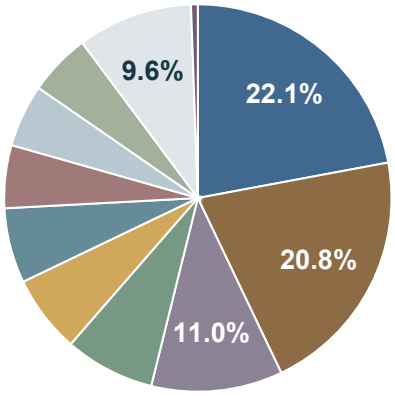
Silver composition and US-origin sourcing

Increase US-produced silver in both UK and US holdings

Increase the share of US-produced bars held in both London and New York. Use Citi's sourcing network to improve the composition across both locations and support the revenue-sharing partnership.

UK / London

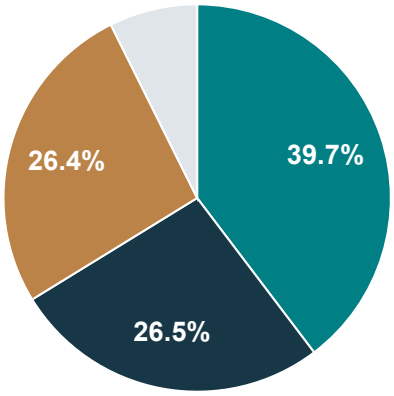
493,474 bars · SLV + Physical Silver ETC



China	22.1%
Kazakhstan	20.8%
Russia	11.0%
Germany	7.5%
Taiwan	6.5%
Switzerland	6.3%
South Korea	5.2%
United Kingdom	5.2%
Poland	5.2%
Other countries	9.6%
USSR	0.6%

USA / New York

66,897 bars · SLV



United States	39.7%
Canada	26.5%
Mexico	26.4%
Other countries	7.4%

US-produced bars in each location

39.7% New York

0.27% London

London: 1,325 bars, included in Other.

Production country from refiner / brand. Bar-count shares, not ounce shares.

Source more US-produced silver for both locations

Use Citi's refiner and client network to source eligible US-produced bars for London and New York creations and agreed substitutions. Build the mix through regular flows, preserve the fund's fine ounces and assess the sourcing and transport costs against additional execution value.

Composition objective: increase US-produced bars in both locations, from today's 0.27% share in London and 39.7% share in New York.

9 October 2026 lists. London = SLV + Physical Silver ETC (SSLN / ISLN); New York = SLV. Refinery-country attribution; customs origin requires separate records. Calculations and country detail are in the reference pages.

A hybrid custody transition

New activity can begin while the existing inventory transfers in stages

Launch servicing with a dedicated Citi inventory buffer, while transferring existing allocated bars through a controlled programme. Keep the operating launch separate from completion of every physical move.

NEW ACTIVITY

Citi inventory and new orders

Size eligible Citi-owned stock against gross creation demand and stressed settlement flows. Allocate incoming silver against accepted orders and process redemptions under the agreed instructions.

Do not treat a net daily share change as the day's gross metal requirement.

EXISTING HOLDINGS

Phased bar transfers

Agree vault slots and batches with the incumbent. Match bar records before dispatch; receive, check and reconcile each batch at the new location.

Use in-place custody transfer or approved substitution where it reduces physical handling.

Daily control point: bar identity + fine ounces + legal ownership + receiving confirmation. Resolve breaks before the next transfer batch.

Route	Role in the transition
Physical relocation	Move existing bars in scheduled batches; throughput depends on release slots, transport and receiving capacity.
Approved substitution	Citi supplies eligible replacement bars under an agreed settlement sequence that preserves the fund's backing.
Hybrid — proposed	Combine new-flow servicing, substitutions where appropriate, and staged relocation of legacy bars.

Security and delivery planning

Agree insured load limits, secure handling and route protocols with the logistics provider. Accept existing weight notes where supported by the agreed receipt checks; escalate discrepancies for re-weighing or assay.

The full SLV inventory is 506,668 bars; New York is 66,897 of those. Set the transfer schedule from contracted release, transport and receiving throughput.

Operational resilience built in by design

Custody controls that support growth and remain effective during stress

Build cross-training into the business resilience strategy. An expanded operating network allows Citi to redeploy trained staff when volumes surge, teams are absent or a site is disrupted.

PHYSICAL ASSURANCE

Counts and inspection

Propose an annual independent full bar count at every custody location, with interim random counts and enhanced quarterly checks for BlackRock.

Agree inspection access for BlackRock and BNY Mellon, and evidence how count exceptions are closed.

INVENTORY RECORDS

Daily bar-level reconciliation

Connect vault records to Citi's custody ledger through APIs. Match refiner, serial number, year, gross weight, assay, fine ounces and location.

Publish the daily bar list and deliver controlled records to BNY Mellon and BlackRock.

INSURANCE AND SECURITY

Coverage through every hand-off

Align vault, in-transit and handling cover with actual values and concentrations. Set clear responsibility at dispatch, transit and receipt.

Document limits, exclusions, claims procedures and the controls over physical access.

PEOPLE AND SYSTEMS

Cover for critical functions

Cross-train allocation, reconciliation and settlement teams across locations. Maintain alternative communications, recovery access and documented handovers.

Exercise staff redeployment and site disruption plans using peak-volume scenarios.

Automation that supports the custody record

Explore the handling and scanning capabilities described for the London extension. The objective is faster receipt checks, fewer manual entries and a complete audit trail from the vault to the trustee.

Operating sequence: vault record → Citi reconciliation → trustee confirmation → BlackRock reporting.

These are proposed service standards for the Citi mandate. The capacity brief's technology descriptions are development opportunities, not a verified description of installed systems.

Reference | Inventory, capacity and transition basis

Supporting evidence and planning inputs

Silver inventory · 9 Oct 2026	Bars	Fine troy ounces	Fine tonnes
SLV · London	439,771	426,779,966.5	13,274.3
SLV · New York	66,897	67,169,330.4	2,089.2
SLV · total	506,668	493,949,296.9	15,363.5
Irish Physical Silver ETC · London	53,703	52,192,371.0	1,623.4
London pie · combined	493,474	478,972,337.5	14,897.7

Fine tonnes = fine troy ounces × 31.1034768 / 1,000,000. This is silver content, not gross transport payload. The two pie totals are intentionally broader than SLV alone in London.

Commercial inputs from the supplied brief

The desk confirms discussions with the major storage agents, sufficient available space for the proposed mandate and readiness to act. The supplied “Precious Metals Custody — BlackRock Brief” records London capacity with a major provider, the Malca-Amit London +13,000t extension and planning consent, the major provider’s >5,000t pipeline, Malca-Amit USA discussions, and Hong Kong 150t / approximately £850,000 per year.

Zurich: shared space initially; a dedicated site approximately 5km from the airport is described as targeted before 2030. An alternative build within another facility is described as approximately six months. These indications are retained for diligence, rather than used as committed delivery dates.

Transfer quantities and fees

The photographs mix approximately 70.2m oz in New York with approximately 416,000 bars for a much larger pool. This presentation uses the verified 9 October scopes above. “Three receipts a day” does not determine a transfer duration without payload, working days and vault throughput. The source’s 12–24 month / 2–3 year / 3–5+ year estimates therefore do not establish a delivery schedule.

The brief’s $10 per bar load-out assumption and $4.16m total are not adopted as JPMorgan’s SLV price. CME notice MKR 11-20-25C publishes a maximum silver delivery-out charge of $35 per bar for JPMorgan, effective 1 March 2026. That is a COMEX comparator, not the negotiated SLV or London price. The brief’s $500,000 logistics per 13,000t and silver 20t / gold 3–5t load limits likewise need route-specific quotes and insurance terms.

Custody and ownership

The existing SLV agreement requires prior trustee approval, with sponsor consultation, for substitution; fine weight must be preserved. Its location clause covers England and New York, with other locations by agreement and sponsor approval. Custody and CME warrant registration are separate: no assumption is made that current SLV bars are on warrant. Citi is the proposed successor custodian.

JPMorgan SLV bar list — saved 9 October snapshot
SLV custody agreement — §§2.7, 4.1, 7.4, 9.2(e)
CME JPMorgan depository tariff — 20 November 2025 notice

Reference | Production-country detail

Bar-count shares underpinning the London and New York pies

Production country	London bars	Share	NY bars	Share
China	108,894	22.07%	0	0.00%
Kazakhstan	102,869	20.85%	0	0.00%
Russia	54,091	10.96%	0	0.00%
Germany	37,134	7.53%	30	0.04%
Taiwan	32,023	6.49%	2,827	4.23%
Switzerland	30,932	6.27%	0	0.00%
United States	1,325	0.27%	26,544	39.68%
South Korea	25,902	5.25%	960	1.44%
United Kingdom	25,789	5.23%	533	0.80%
Poland	25,570	5.18%	383	0.57%
Canada	3,878	0.79%	17,761	26.55%
Mexico	3,766	0.76%	17,669	26.41%
Japan	18,154	3.68%	70	0.10%
Australia	11,199	2.27%	0	0.00%
Uzbekistan	3,914	0.79%	0	0.00%
USSR	2,801	0.57%	0	0.00%
Peru	2,418	0.49%	0	0.00%
Belgium	1,463	0.30%	90	0.13%
Türkiye	471	0.10%	0	0.00%
Sweden	405	0.08%	0	0.00%
Hong Kong	241	0.05%	0	0.00%
Italy	70	0.01%	30	0.04%
Spain	44	0.01%	0	0.00%
South Africa	43	0.01%	0	0.00%
India	30	0.01%	0	0.00%
Thailand	30	0.01%	0	0.00%
France	15	0.00%	0	0.00%
Yugoslavia (former)	3	0.00%	0	0.00%

Pie grouping: each country at or above 5% has its own slice; smaller countries form Other. USSR is shown separately in London. London Other = 47,469 bars (9.62%); New York Other = 4,923 (7.36%). USSR refers to 2,801 legacy bars; 3 Trepca bars are mapped to former Yugoslavia.

New York 50% illustration: At a fixed 66,897 bars, 50% rounds up to 33,449 US-produced bars. Less 26,544 today = 6,905 additional bars. The sourcing objective covers both London and New York; substitutions reconcile actual fine ounces.

Origin method: country attribution follows source refiner / brand labels and the saved LBMA current / former-refiner evidence. It identifies where the bars were produced, not the origin of mined or recycled feedstock. Customs origin and tariff eligibility require their own evidence; no tariff exemption or future tariff outcome is assumed.

Editable origin charts and full brand mapping
Irish Physical Silver ETC bar list — saved snapshot
LBMA Silver Good Delivery refiners
CBP country-of-origin framework — ruling N335835